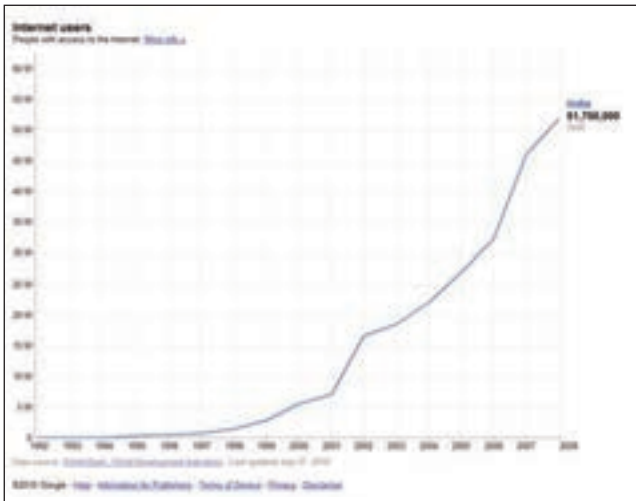




Here's a snapshot of internet penetration in India as per www.google.com/publicdata

1.1.1 The fuel for the fire

India has grown from net obscurity to the fourth largest online population – lower only than China, the US and Japan. But what's impressive is that the major growth has happened in just the last few years.

It's right now that India has reached the tipping point of making web businesses a viable option. Earlier it was a case of too few people online – although still in millions, compared to a population of 1.2 billion, this was still peanuts. However, we feel that as we approach a 100 million people with access to the net, there's sufficient penetration to expect returns from a web service business now.

1.1.2 Broadband

According to TRAI, just over 9 million people in India have access to broadband, and you might think that this certainly is not a huge number. However, in contrast to the internet penetration figures – which took a decade to go from around 5 million to close to a 100 million – we expect broadband penetration to cover that gap in a significantly smaller span of time. With a lot of people converting from slower connections to faster ones, and the increasing popularity of mobile broadband services (those little USB modems that are offering “blazing fast” speeds), and also a significant number of people accessing the web from their 3G mobile phones – there's definitely going to be a drastic rise in the overall figures.

What's also going to happen as broadband-access becomes more prevalent